

exactly how, not being stated. Naturally enough, this development failed to materialize.⁵

The irrationality of the gambling spirit is well shown here by the absurd acceptance of unpaid preferred dividends *as a source of value for both the preferred and the common*. The speculative argument in behalf of the common stock ran as follows: "The accumulated preferred dividends are going to be paid off. This will be good for the common. Therefore let us buy the common." According to this topsy-turvy reasoning, if there were no unpaid preferred dividends ahead of the common it would be less attractive (even at the same price), because there would then be in prospect no wonderful plan for clearing up the accumulations.

We may use the American Zinc example to demonstrate the practical application of our "rule of maximum valuation for senior issues." Was American Zinc Preferred too high at 118 in 1928? Assuming the preferred stockholders owned the company completely, this would then mean a price of 118 for a *common* stock earning \$6 per share in 1928 after eight years of deficits. Even in the hectic days of 1928 speculators would not have been at all attracted to such a common stock at that price, so that the application of our rule should have prevented the purchase of the preferred stock at its inflated value.

The quotation of 57 reached by American Zinc common was evidently the height of absurdity, since it represented the following valuation for the company:

Preferred stock, 80,000 sh. @ 118	\$ 9,440,000
Common stock, 200,000 sh. @ 57	<u>11,400,000</u>
Total valuation	\$20,840,000
Earnings, 1928	481,000
Average earnings, 1920-1927	188,000(<i>d</i>)

In order to equal the above valuation for the American Zinc Company the hypothetical common stock (80,000 shares basis) would have had to sell at \$260 *per share*, earning a bare \$6 and paying no divi-

⁵ But years later, in 1936, accumulated preferred dividends were taken care of by a recapitalization plan which gave the preferred stockholders the bulk of the enlarged common issue.